Balancing Your Checkbook[57]

Today, fewer people are writing checks in their everyday transactions. Many individuals use debit cards, credit cards, or cash to make purchases and rely on online banking and bill paying options. As a result, many people do not know how to write a check, let alone balance a checkbook. Although writing checks is less common in the digital age, checkbooks and learning how to properly use them are still useful financial tools to have in your toolkit.

If you do use checks, do you balance your checkbook each month?

Four reasons why you should:

1. Balancing your checkbook verifies that your records match your bank's records.
2. Banks can make mistakes, and so can you. It is possible you've made a math error in your checkbook register.
3. If you make a mistake or forget to post a transaction in your register, you may start bouncing checks and incurring fees of $25 or more.
4. If there's a problem, you won't need to wade through months of transactions to figure it out.

The Ten Steps to Balance Your Checkbook:[58]

What you will need:

- Your most recent bank statement and/or cancelled checks
- A checkbook balancing form
- Your checkbook register
- A calculator and pencil

[57] Original material from Peerlink National Technical Assistance Center.
[58] Deborah Fowles. “How to Balance Your Checkbook.” *The Balance,* Nov. 16, 2020. https://www.thebalance.com/balancing-your-checkbook-1289297

Step 1: **Reconcile Your Checks**. Determine if there are any checks that haven't cleared the bank. Sort your cancelled checks in check number order, or use the listing of your cleared checks in numerical order as shown on your statement.

In your checkbook register, check off each cancelled check returned to you or each check that appears on the check listing, making sure the amount you recorded is the amount the bank shows.

Step 2: **Reconcile Your Deposits**. Make sure each deposit shown on your bank statement is recorded in your check register (especially if you have direct deposit, which you can easily forget to record).

Go through your deposit slips, paycheck stubs, etc., and make sure the bank statement shows all the deposits you made. Check off the deposits in your check register as you did for checks.

Step 3: **Reconcile Your ATM Withdrawals & Debit Card Purchases**. Go through the same process with your ATM withdrawals or debit card purchases, checking off each transaction on the bank statement in your check register. If the bank shows transactions that aren't included in your check register, record them now.

Step 4: **Record Interest Earned & Bank Fees**. Check your bank statement for any fees and record them in your checkbook register. Record any interest earned in your checkbook register.

Step 5: **List Outstanding Checks**. Go through your checkbook register and in *Column 2* of the balancing form, list your outstanding checks (the checks that you did not check off in your check register as having cleared the bank), as well as any outstanding debit purchases or ATM withdrawals that have not yet cleared the bank. Total the column of outstanding checks, debits, and ATM withdrawals.

Step 6: **List Outstanding Deposits**. Go through your checkbook register and in *Column 1* of the balancing form, list the outstanding deposits (the deposits that you did not check off in your check register as having cleared the bank). Total the column of outstanding deposits.

Step 7: **Record Your Bank's Ending Balance**. On *line 1* of the bottom section of the Checkbook Balancing Form, enter the ending balance shown on your bank statement.

<u>Step 8:</u> Enter Outstanding Deposits. On *line 2* of the bottom section of the Checkbook Balancing Form, enter the total outstanding deposits from column one.

<u>Step 9:</u> Enter Outstanding Checks. On *line 3* of the bottom section of the Checkbook Balancing Form, enter the total outstanding checks from column two.

<u>Step 10:</u> Calculate Your Balance. Use a calculator to total lines 1-3 as indicated by the plus and minus signs on the form, and enter the new total on *line 4.* This should equal the balance shown in your checkbook register. If it does not, check for math errors in your checkbook register, such as reversed numbers (e.g., $53 instead of $35), subtracting a deposit instead of adding it, adding a check written instead of subtracting it, automatic payments that you forgot to record, etc.

Tips:

- For the easiest method of balancing your checkbook, use the Printable Checkbook Balancing Form below or find a template online.
- Don't fall for common mistakes: 1) never recording the pennies on the checks you write; 2) entering incorrect amounts in your check register to "fool" yourself into thinking you have less money (so you can be pleasantly surprised later or to provide a cushion for errors); or 3) only balancing your checkbook once a year when you do your taxes.
- If you find your checkbook in a mess, you cannot reconcile it despite your best efforts, and you're incurring fees because of errors, sometimes the best thing to do is to open a new account and start over, closing the old account after all checks have cleared.
- If you can’t reconcile, see if the amount you're off divides evenly by nine. If it does, it may be a transposed number (you may have written $53.94 instead of $53.49, for example).

“An investment in knowledge pays the best interest.”

Benjamin Franklin

Checkbook Balancing Form[59]

1. Outstanding Deposits (not included in your statement):		2. Outstanding Checks (not included in your statement):	
Date:	**Amount:**	**Check Number:**	**Amount:**

1. **Ending balance from your bank statement:** **$ ____**
2. **Add total outstanding deposits:** **+ ____**
3. **Subtract total outstanding checks** **- ____**
4. **New balance (should equal your checkbook balance after you record interest and fees in your checkbook register)** **= ____**

[59] Original material from Peerlink National Technical Assistance Center.